UNIT ▼ SHORT TELECOM / FIBER May 18, 2026

# Uniti: The REIT Ended. The Debt Did Not.

Five reasons, in the order we would underwrite them. Interest already exceeds operating income. The principal is $10.7 billion against $320 million of book equity. A 2026 maturity wall does not make this list, because there is not one.

EXECUTIVE SUMMARY

We are short Uniti Group Inc. The first correction is the label. Uniti is not a REIT. The merger with Windstream closed on August 1, 2025. Old Uniti ceased to be a real estate investment trust, and the company does not qualify to be one. Common stock trades on Nasdaq as UNIT. There were no common stock dividend distributions in 2025. The March 2026 quarter declared a preferred dividend and no common dividend.[1][2]

The debt stayed, and the merger added to it. At March 31, 2026, principal outstanding was $10,683.1 million. Shareholders' equity was $319.7 million. Interest expense, net, was $188.3 million in the quarter. Operating income was $110.9 million. Cash interest paid, net of amounts capitalized, was $138.8 million. Cash from operations was $260.9 million. Capital expenditures were $349.2 million. Operations covered the cash coupon and did not cover the build. After interest, the common stock was allocated a loss of $85.8 million, or $0.34 a share.[1]

We do not rank a 2026 default. Principal due in the rest of 2026 is $7.5 million. Unrestricted cash was $982.6 million. Available capacity under the senior secured revolvers, after $113.0 million of letters of credit, was $862.0 million. Management says cash on hand and cash from operations are enough for planned capital spending and scheduled principal and interest, for the next twelve months and beyond. The short is the stock of debt, the coupon

relative to operating income, and a consumer business that, on the company's own pro forma, is smaller than it was a year ago.[1]

| # | REASON | LIKELIHOOD | IMPACT | TIMING |
|---|---|---|---|---|
| 1 | Interest already larger than operating income | High | Severe | The March quarter |
| 2 | $10.7 billion of principal against thin equity | High | Severe | Coupon now; principal mostly after 2027 |
| 3 | Fiber capex the operations do not fund | High | High | Now, and while the footprint is still 41% fiber |
| 4 | The lease was replaced by a smaller consumer book | Medium-high | High | Visible on the pro forma quarter |
| 5 | Preferred, warrants, and a convert near the price | High | High | Preferred dividend now; conversion undated |

How we rank the short. Likelihood and impact are Froth City's judgment. Timing is when the March 31, 2026 filing says the dollars fall due, or when the comparison is already in the quarter.

DEBT PRINCIPAL

$10.68B

Q1 INTEREST, NET

$188M

Q1 OPERATING INCOME

$111M

Q1 CASH CAPEX

$349M

BOOK EQUITY

$320M

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## 01 Interest is larger than operating income

This is the short that is already in the income statement. For the three months ended March 31, 2026, service revenue was $889.0 million, sales revenue was $98.5 million, and total revenue was $987.5 million. Operating income was $110.9 million. Interest expense, net, was $188.3 million. The pretax result was a loss of $69.7 million. Net loss was $70.3 million. Dividends declared on the convertible preferred stock were $15.5 million. Net loss attributable to common shares was $85.8 million.[1]

Operating income covered 0.59 times interest expense: 110.9 divided by 188.3. Cash interest paid, net of interest capitalized, was $138.8 million, which operating income also did not cover. Adjusted EBITDA, the company's unlevered measure, was $441.6 million. That figure covers interest 2.35 times, because it adds back $289.8 million of depreciation and amortization, $30.1 million of transaction costs, and smaller items. Adjusted EBITDA is useful. It is not cash left for shareholders. The common stock was allocated a loss.[1]

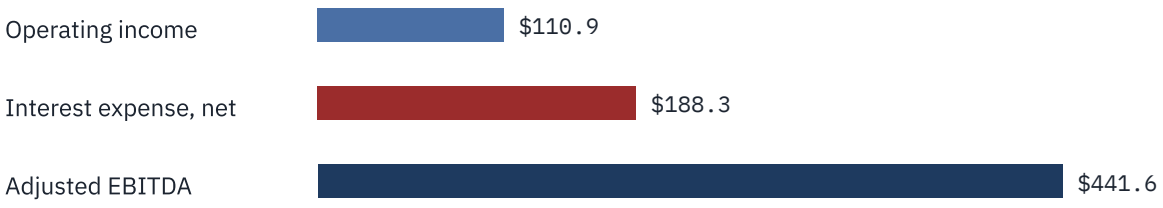



Figure 1. Three months ended March 31, 2026, millions of dollars. Bars are scaled to adjusted EBITDA of $441.6 million. Operating income is 0.59 times interest. Adjusted EBITDA is 2.35 times interest. Source: Uniti Form 10-Q.

The year-ago GAAP quarter is not the comparison. It is Old Uniti before the merger, with service revenue of $290.8 million and operating income of $145.7 million. The company publishes a pro forma for the combined business. On that basis, first-quarter 2025 service revenue was $964.4 million, operating income was $169.0 million, and interest expense, net, was $188.0 million. The interest bill is the combined company's bill. It was already about as large as operating income before this year's decline in profit. Likelihood is high because the quarter has been filed. Impact is severe because the residual after the coupon is a loss. Timing is now.[1]

## 02 The principal that stayed

At March 31, 2026, maturities of long-term debt, excluding $36.5 million of unamortized premium, discount, and deferred financing costs, were $7.5 million for the rest of 2026, $316.5 million in 2027, $580.0 million in 2028, $1,120.0 million in 2029, $1,299.0 million in 2030, and $7,360.1 million thereafter. The total is $10,683.1 million. Current portion on the balance sheet was $10.0 million. Notes and other debt, net, were $10,636.6 million.[1]

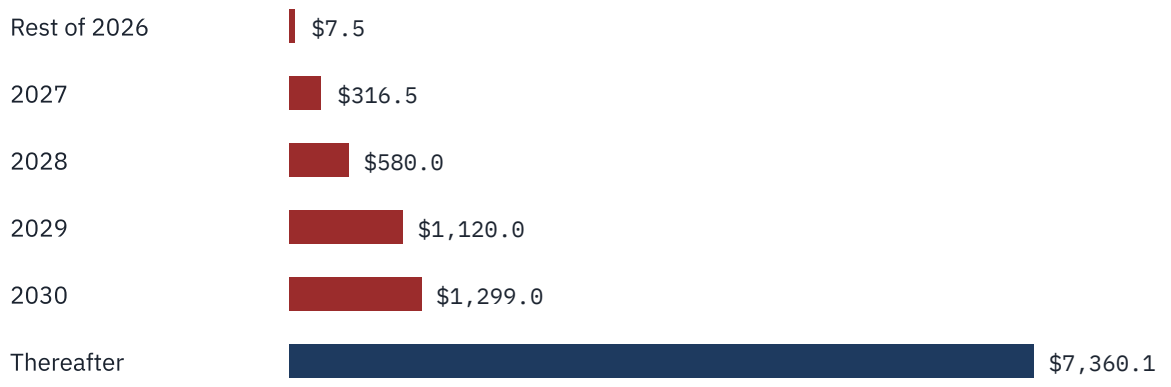



Figure 2. Principal maturities at March 31, 2026, millions of dollars, excluding $36.5 million of discount and deferred financing costs. Bars are scaled to $7,360.1 million, which is why 2026 is a sliver. Source: Uniti Form 10-Q.

The instruments under that schedule, as the filing lists them, include an undrawn Uniti revolver and an undrawn Windstream revolver, a $997.5 million 2025 term loan, $570.0 million of 4.75% secured notes due 2028, $1.1 billion of 6.50% unsecured notes due 2029, $700.0 million of 6.00% unsecured notes due 2030, $2.2 billion of 8.25% secured notes due 2031, $1,600.0 million of 8.625% unsecured notes due 2032, $1,400.0 million of 7.50% secured notes due 2033, $306.5 million of 7.50% convertible notes due 2027, $839.0 million of fiber ABS notes, and $960.1 million of Kinetic ABS notes. Those long-term lines plus the $10.0 million current portion are the $10,683.1 million.[1]

The quarter's new money was expensive relative to the cash it has to service. On February 4, 2026, subsidiaries issued $1.0 billion of additional 8.625% unsecured notes due 2032. The 8.625% notes then outstanding were $1,600.0 million. In January the company issued the $960.1 million Kinetic securitization: $677.7 million at 5.219%, $113.0 million at 5.561%, and $169.4 million at 7.653%, with an anticipated repayment date in February 2031. Part of the 8.625% proceeds repaid the $500 million Windstream term loan. The extinguishment gain was $1.2 million. Refinancing pushed principal out. It did not shrink it. Year-end principal had been $9,540.5 million. [1]

Book equity against that principal is $319.7 million. Additional paid-in capital was $2,809.1 million. The accumulated deficit was $2,493.7 million. Goodwill was $1,158.5 million and intangible assets, net, were $1,212.6 million, together larger than equity. Likelihood is high: the principal is outstanding. Impact is severe because equity is the residual under a fixed coupon. Timing of the big principal is after 2027, which is why this ranks behind the interest that is already larger than operating income, and why a near-term default is not the thesis. [1]

## 03 Capex the operations do not fund

Cash from operations was $260.9 million. Cash capital expenditures were $349.2 million. A further $22.6 million of capital expenditures was funded by government grants. Grant funds received were $6.2 million. Investing cash flow was a use of $362.5 million. The gap between operating cash and company-funded capex was $88.3 million in one quarter, before the grant-funded spend. [1]

Cash and restricted cash rose by $997.8 million anyway. Financing provided $1,099.4 million. Debt proceeds were $2,070.1 million: the $1,000.0 million of additional 8.625% notes, the $960.1 million of Kinetic ABS notes, and $110.0 million of revolver borrowings. Repayments were $927.5 million, including the $500.0 million Windstream term loan, $425.0 million of revolver borrowings, and $2.5 million of scheduled term-loan principal. Financing costs were $36.4 million. The cash balance is borrowed cash. [1]

The build is not finished. The company says it extended fiber coverage in the quarter to more than 1.9 million consumer premises passed, 41% of the Kinetic footprint, at March 31, 2026. Fiber consumer subscribers were 564,000, a 29% penetration of premises passed. Management expects the fiber base to grow and the DSL base to decline. That is a multi-year funding need sitting on top of a coupon the operating income does not cover. Likelihood is high. Impact is high because each quarter of this gap is new debt or a lower cash balance. Timing is the current build, not a single maturity date. [1]

## 04 The tenant was bought. The revenue fell.

Before the merger, Old Uniti was a REIT that leased communications infrastructure. Windstream was the tenant. The merger settled those leases. The filing says the drop in Fiber Infrastructure service

revenue is primarily the absence of leasing revenue from Windstream after August 1, 2025. Uniti Wholesale service revenue was $111.3 million, against $222.4 million a year earlier, partly offset by $78.2 million of acquired Windstream wholesale revenue. Buying the tenant removed the concentration. It also removed the rent and brought the tenant's operations and debts onto the same balance sheet. [1]

External revenue in the quarter, after intersegment charges, was Kinetic $536.9 million, Fiber Infrastructure $260.1 million, and Uniti Solutions $190.5 million, which sum to the $987.5 million consolidated total. Kinetic is 54% of the company. Its consumer service revenue was $290.4 million, split almost evenly between fiber subscribers at $144.8 million and DSL and other at $145.6 million. Broadband customers were 564,300 on fiber and 409,100 on DSL. [1]

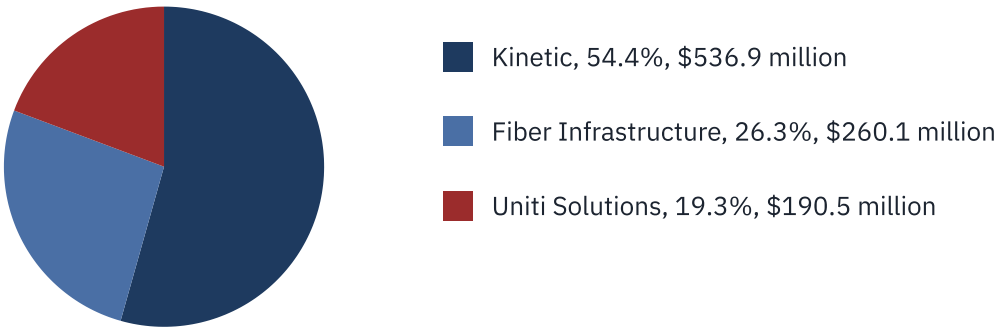



Figure 3. External revenue, three months ended March 31, 2026, after removing intersegment revenue of $47.1 million. Kinetic is the old tenant's consumer business. Source: Uniti segment tables.

On a pro forma combined basis, service revenue fell from $964.4 million to $889.0 million, a decrease of $75.4 million, which the company shows as 8%. Kinetic service revenue was down $44.6 million, from lower consumer, business, and wholesale revenue, including fewer DSL customers and less demand for voice-only service. Uniti Solutions was down $49.5 million as legacy TDM customers churn. Fiber Infrastructure service revenue was up $18.7 million, from price increases and reserve adjustments, not from a new lease. [1]

Sales revenue moved the other way, and most of it is one contract. Sales-type lease revenue was $71.4 million, against $2.7 million in the pro forma year-ago quarter. The company entered an indefeasible right of use for dark fiber with a large hyperscaler that produced $68.7 million of incremental sales revenue. That is demand for the fiber. It is also revenue the company does not describe as a recurring service line. Treating the quarter's $987.5 million as a run-rate overstates the business the debt has to be serviced by. Likelihood that the copper and legacy book keeps shrinking is medium-high, because the company says it expects DSL to decline. Impact is high if fiber adds do not outrun that decline and the coupon. Timing is the comparison already in the filing. [1]

## 05 Preferred, warrants, and the convert

Windstream's equityholders came out of the merger with about 90.1 million common shares, about 0.6 million shares of non-voting preferred, and about 17.6 million warrants. The preferred dividend rate is 11% a year for the first six years, plus 0.5 percentage point in each of the seventh and eighth years, plus 1 percentage point a year after that, capped at 16%. The aggregate liquidation preference is $575.0 million. The quarter's declared preferred dividend was $15.5 million. Preferred stock is carried at par on the balance sheet, which the statement shows as zero, while the preference is $575.0 million. GAAP equity of $319.7 million is smaller than that preference. In a liquidation the preference comes ahead of the common. We do not subtract it a second time from the market value below, because the price is a common price. We do not treat the common as owning the $319.7 million free and clear. [1]

The warrants have a $0.01 exercise price. Basic earnings per share already includes them. Weighted-average common shares were 234.6 million. Weighted-average warrants were 17.5 million. Basic shares were 252.1 million. The if-converted method would also have added 102.7 million shares for the preferred and 25.3 million shares for the 2027 convertible notes. Both were excluded because the effect would have been antidilutive in a quarter with a net loss. Antidilutive, in that sentence, is an earnings-per-share rule. It is not a finding that the preferred is out of the money. We do not have a preferred conversion price we are willing to use, so we do not turn 102.7 million shares into a dollar figure. [1]

The 2027 convertible notes are the piece we can price. The 2025 annual report states a conversion rate of 82.7023 shares per $1,000 of principal, about $12.09 a share. Principal is $306.5 million, which is the 25.3 million potential shares. The May 15 close used below is $11.05, under that conversion price. Those notes are a debt claim first. They become dilution if the common rises through $12.09. Likelihood that the preferred dividend and the warrant overhang are real is high. Impact on the common residual is high. Timing of conversion is not a date in the filing, which is why this is fifth, behind the coupon and the principal that do have dates. [1] [2]

## 06 What the price assumes

We do not publish a price target. What follows is arithmetic on figures we can cite. It is not a forecast.

| ITEM | FIGURE | HOW IT IS DERIVED |
|---|---|---|
| Close, May 15, 2026 | $11.05 | Yahoo Finance unadjusted close [3] |
| Common shares, May 4, 2026 | 242,815,652 | Cover of the March 31 10-Q [1] |
| Equity value at the close | $2,683.1 million | 242,815,652 × 11.05 |
| Shareholders' equity | $319.7 million | March 31, 2026 [1] |
| Equity value ÷ book equity | 8.4× | 2,683.1 ÷ 319.7 |
| Debt principal | $10,683.1 million | Maturity schedule [1] |
| Unrestricted cash | $982.6 million | Cash and cash equivalents [1] |
| Illustrative enterprise value | $12,383.6 million | 2,683.1 + 10,683.1 − 982.6 |

Table 1. Valuation arithmetic. Debt, cash, and book equity are March 31, 2026. The share count is the May 4, 2026 cover count. The price is the May 15, 2026 close, the last trading day before this note.

The dates do not match, and the dilution is not in the share count. The close is eleven days after the cover count and six weeks after the balance sheet. Common shares issued were 235.0 million at March 31. We use the later cover count because it is the outstanding common the filing states, and we do not have a May 15 count. Restricted cash of $149.3 million is excluded from the cash deduction. Adding it would lower the enterprise value by that amount. The quarter's basic share count included 17.5 million weighted-average warrants that the cover count, which is common stock outstanding, does not include. We do not have a warrant count at May 4, so we do not add one. The 102.7 million if-converted preferred shares are also outside this equity value. [1]

Read it from the coupon up. An illustrative enterprise value of $12.4 billion sits on a quarter in which operating income did not cover interest and operating cash did not cover capital spending. Four times first-quarter adjusted EBITDA is $1,766.4 million. Net of unrestricted cash, principal of $9,700.5 million is 5.5 times that figure. We show the multiple because the arithmetic is simple, and we discount it, because the quarter included $71.4 million of sales-type lease revenue that should not be annualized. Book equity of $319.7 million is the accounting residual under $10.7 billion of principal and a $575 million preferred preference. At $11.05 the common traded at 8.4 times that book equity. The price assumes the fiber build earns enough, after the coupon, to justify a common claim that book equity does not yet support.

## 07 Risks to the short

Liquidity is real, and a short that needs a 2026 refinancing failure is the wrong short. Cash was $982.6 million. Revolver availability was $862.0

million after letters of credit. Management has said those sources, with operating cash flow, cover planned capex and scheduled debt service inside a year and past it. The rest-of-2026 principal is $7.5 million. The 2027 stack is $316.5 million, and $306.5 million of that is the convertible notes, which do not have to be repaid in cash if they are converted. Credit markets just took $1.0 billion of 8.625% notes and $960.1 million of fiber securitization paper. [1]

The fiber business can grow into the debt. Premises passed are 1.9 million and penetration is 29%, so most of the passed footprint is not yet a fiber subscriber. Fiber Infrastructure contribution margin was $192.7 million on $294.8 million of segment revenue and sales. The hyperscaler right of use is evidence that a large buyer wanted dark fiber. Carrier and content demand is what the company points to in that segment. If fiber subscribers and that wholesale book compound while DSL declines in an orderly way, reason 4 gets weaker. [1]

Much of the coupon is fixed. A rally in rates does not rewrite the 8.625% notes or the 8.25% notes. It can make the next refinancing cheaper, and the big maturities are mostly after 2027. Adjusted EBITDA of $441.6 million did cover the $188.3 million of interest. A buyer who underwrites the unlevered earnings and ignores GAAP operating income will not use our first chart the way we do. The short is wrong if the build is funded from the cash already raised, service revenue stabilizes, and the common keeps a multiple of book while the principal stays termed out. The capitalization can absorb a slow quarter. It cannot absorb many of them without another raise.

## 08 Other considerations

These are real, and they are not the numbered short. A fact-check moved them here.

**It is not a REIT.** Old Uniti was an independent, internally managed REIT. That description in the filing is explicitly prior to the merger. On August 1, 2025, Old Uniti ceased to be a REIT, and the company does not qualify to be a REIT. The common dividend went with the election. The 2025 annual report says there were no common stock dividend distributions during 2025. For 2024 and 2023, common stock distributions were $0.75 a share. The March 2026 equity roll shows a preferred dividend and no common dividend. A yield investor's reason to own the old stock is already gone. We do not rank a dividend that stopped in 2025 as a new 2026 catalyst. We also do not describe the company as a REIT anywhere in the ranking. [1] [2]

**There is no 2026 wall.** Remainder-of-2026 principal is $7.5 million. Anyone underwriting a near-term maturity default is using a different capital structure than the one in the March 31 schedule. The 2028 to 2030 maturities, $580 million, $1,120 million, and $1,299 million, are the first large blocks. They matter. They are not this year's crisis.

**The old tenant concentration is over.** The master-lease story was the REIT story. The filing's account of Fiber Infrastructure is that leasing revenue from Windstream ended when the leases were settled in the merger. The concentration now is Kinetic, which is reason 4, a book of consumers and small businesses, not one tenant with one lease.

**Elliott.** The 2025 annual report says Elliott Investment Management, L.P. and its affiliates owned about 25.2% of the common stock, before warrants and any preferred conversion. That is a holding as of that report, filed March 2, 2026. We did not update it from later forms. A large holder is not, by itself, a reason the equity falls. [2]

**One hyperscaler contract.** The $68.7 million of incremental sales, inside $71.4 million of sales-type leases, is the main reason sales revenue jumped. It belongs in the quarter. It does not belong in a four-quarter run-rate. It is also the cleanest evidence in the filing that outside buyers still want the fiber. Both readings are in the note. Neither replaces the coupon.

## 09 Notes

1. Uniti Group Inc., Form 10-Q for the quarter ended March 31, 2026, filed May 11, 2026. Unless a sentence is footnoted elsewhere, the Uniti figures in this note are from that filing. Dollar figures in the filing's tables are in millions. sec.gov.
2. Uniti Group Inc., Form 10-K for the year ended December 31, 2025, filed March 2, 2026. No common distributions in 2025. Common distributions of $0.75 a share in 2024 and 2023. Elliott's approximate 25.2% common holding. Conversion rate on the 2027 notes of 82.7023 shares per $1,000, about $12.09 a share. sec.gov.
3. Unadjusted closing price of $11.05 on May 15, 2026, the last trading day before this note, from the historical price table at Yahoo Finance. The May 18 close is not used.

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